

PAYSON, ARIZONA • GILA COUNTY • APN 302-39-006F

Block 10

Concept Studies for the Town

Ten development paths for a 15-acre M-2 parcel adjacent to Payson Municipal Airport — modeled for property tax, sales tax, and economic impact.

Prepared for Darren Coldwell, Town Manager • Town Leadership Roundtable

The Parcel

What we have to work with, and why this matters now



Block 10 — Conceptual Master Plan Layout

KEY FACTS

Size: ~15 acres (was Block 17 in Ord. 784, renumbered Block 10)

Zoning: M-2 Heavy Industrial (Ord. 784, 2010)

Frontage: Airport Road (south); Payson Airport (north)

Encumbrances: Avigation easement runs with land; CCRs (utilities underground)

Airport Master Plan conformance: *REPEALED* by Ord. 903 (2018) — no longer binding on this parcel

WHY IT MATTERS NOW

Payson Airport is expanding. The town's last large, road-fronting M-2 parcel adjacent to it is now in active ownership for the first time in 15 years — without the Master Plan conformance gate that blocked prior buyers.

Our Approach

We're not here to ask for variances — we're here to ask what Payson wants

1. Start small, prove the model

Phase 1 is a 2-3 acre pilot. Two purpose-built warehouses + two ready-to-build lots in a cul-de-sac. Real revenue inside 12 months.

2. Match Payson's priorities

Ten concepts span retail, aviation, industrial, and storage. The Town picks the mix. We build to that mix.

3. Maximize Town revenue, not just ours

Every concept is modeled with property tax to PUSD/County, construction TPT to Payson, and ongoing sales TPT. Town wins first.

Today's purpose: walk these concepts, hear what excites the Town, identify the 2-3 paths worth a deeper joint study.

How We Modeled the Numbers

Defensible math — sources cited, conservative assumptions

PROPERTY TAX

Market Value × Assessment Ratio × Combined Rate

Class 1 (Commercial / Industrial):
Assessment ratio: 16% (decreasing to 15% by 2027)
Combined Gila County rate: 4.5325% of assessed value

→ Effective: ~0.725% of market value per year

Class 3 / 4 (Residential):
Assessment ratio: 10%
→ Effective: ~0.453% of market value per year

Distribution (approximate):
PUSD ~50% · Gila County ~30% · Fire ~12% · Other ~8%

SALES TAX (TPT)

Payson combined TPT rate: 10.48%

State of Arizona: 5.6%
Gila County: 1.0%
Town of Payson: 3.88%

(Increased from 2.88% by Ord. 964, May 2024)

Construction TPT (prime contracting):
Town collects 3.88% × 65% of contract value, one-time
(35% deemed materials under A.R.S. § 42-5075)

Operating retail/restaurant:
Town collects 3.88% of gross sales, every year, forever

Note: Town of Payson has no primary property tax levy.
Town's direct take from development = TPT + permits + impact fees.

Concept 1: Phase 1 Pilot Cul-de-Sac

Prove the model: 2 built warehouses + 2 ready-to-build lots in 12 months

A small cul-de-sac with infrastructure improvements (road extension off Airport Rd, water, sewer, power), two completed Class A warehouse buildings (~4,000 sqft each, sale price ~\$700K), and two ready-to-build 0.5-acre lots offered at ~\$200K. Proves the development model with minimal capital exposure. The Town gets immediate construction TPT revenue, and we generate market data on absorption to inform Phase 2.

FINANCIALS AT A GLANCE

ACREAGE USED

2.5 ac

TOTAL BUILD COST (EST.)

\$1.40M

MARKET VALUE WHEN BUILT

\$2.80M

ANNUAL PROPERTY TAX

\$20,300

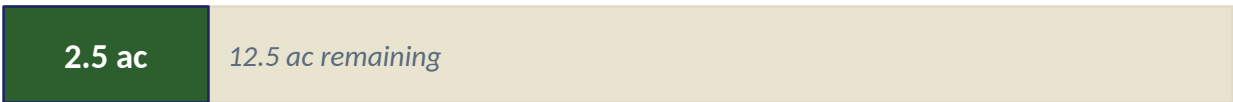
TOWN TPT (1-TIME BUILD)

\$35,308

TOWN OF PAYSON — ANNUAL TPT FROM OPERATIONS

— (industrial use, no operating retail TPT)

ACREAGE FOOTPRINT (out of 15 ac total)



ANNUAL PROPERTY TAX DISTRIBUTION (approx)



Jobs (est.): 10-25 (tenant-dependent)

Concept 2: Subdivided Lot Sale Strategy

Develop access & utilities, sell up to 40 finished 0.3-acre lots

Install roads, water, sewer, power, and stormwater across ~12 acres; subdivide into up to 40 finished 0.3-acre lots. Pricing target: ~\$120K per lot. Buyers handle vertical construction — every build adds construction TPT to Town and grows the assessed base. This concept generates the highest cumulative construction TPT of any approach.

ANNUAL PROPERTY TAX — TWO SCENARIOS

Today (lots sold vacant)

\$32,634

per year

Class 2 vacant · \$4.80M × 15% × 4.53%

At full build-out (40 × \$650K bldgs)

\$223,362

per year

Class 1 built · \$30.8M × 16% × 4.53%

COMPARABLE LOCAL BUILDINGS

Adjacent industrial-commercial properties along Airport Road, Beeline Highway, and within the Sky Park Industrial subdivision routinely carry assessed structure values of \$500K-\$1.2M on lots of equal or smaller size. The \$650K average used here is a conservative midpoint — actual built-out figure is likely higher.

FINANCIALS AT A GLANCE

ACREAGE USED

12 ac · 40 lots

INFRA BUILD COST (12 ac)

\$2.10M

LOT SALE PROCEEDS

\$4.80M

INFRA TPT (1-TIME)

\$52,962

BUYER BUILD TPT (40 BUILDS)

\$525K

TOWN OF PAYSON — ANNUAL TPT FROM OPERATIONS

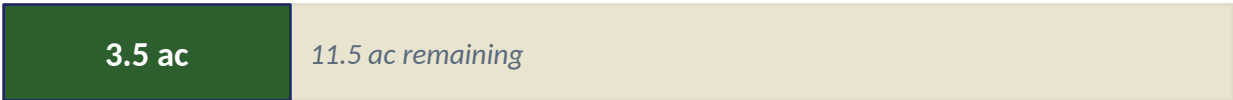
— (industrial buyers — no operating retail TPT)

Concept 3: Flex-Industrial Park

8-10 leased contractor yards & shop spaces for Payson-area trades

Build 8-10 small flex-industrial units (2,500-4,000 sqft each), with attached fenced yard space. Lease to plumbers, electricians, HVAC, landscapers, small fabricators, off-roading service shops — the trades that currently lack proper workspace in Payson. Long-term tenants paying triple-net leases. Stable rent roll, low turnover, supports the town's existing trade base.

ACREAGE FOOTPRINT (out of 15 ac total)



ANNUAL PROPERTY TAX DISTRIBUTION (approx)



Jobs (est.): 40-80 (10 tenant businesses × 4-8 employees each)

FINANCIALS AT A GLANCE

ACREAGE USED

3.5 ac

TOTAL BUILD COST (EST.)

\$3.20M

MARKET VALUE WHEN BUILT

\$5.80M

ANNUAL PROPERTY TAX

\$42,050

TOWN TPT (1-TIME BUILD)

\$80,704

TOWN OF PAYSON — ANNUAL TPT FROM OPERATIONS

— (industrial use, no operating retail TPT)

Concept 4: T-Hangar Row

Standard private aircraft hangars — fill the Payson Airport waitlist

20-24 T-hangars built in two rows, with taxiway connection to the airport ramp. Sell as condo hangars at ~\$175K each, or lease at \$450-700/month. Payson Airport has a long-standing hangar waitlist and very little adjacent land suitable for new hangar development. This is the path that most directly supports the Airport Master Plan's growth assumptions without locking us into it.

FINANCIALS AT A GLANCE

ACREAGE USED

2.5 ac

TOTAL BUILD COST (EST.)

\$2.40M

MARKET VALUE WHEN BUILT

\$4.20M

ANNUAL PROPERTY TAX

\$30,450

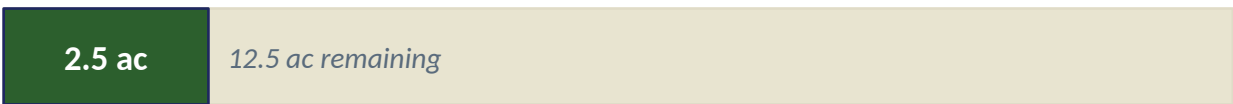
TOWN TPT (1-TIME BUILD)

\$60,528

TOWN OF PAYSON — ANNUAL TPT FROM OPERATIONS

— (industrial use, no operating retail TPT)

ACREAGE FOOTPRINT (out of 15 ac total)



ANNUAL PROPERTY TAX DISTRIBUTION (approx)



Jobs (est.): 3-5 (FBO services + maintenance overflow)

Concept 5: Premium Hangar-Lofts

Hangar below, finished loft above — flagship aviation product

Six premium units: ~3,000 sqft hangar bay below, ~1,500 sqft finished living loft above (bedroom, bath, kitchen, living area). Sell at \$1.0-1.2M each to pilot-owners who want a destination weekend hangar near the Mogollon Rim. This is a flagship product Payson currently does not offer — and a category Sedona, Prescott, and Marble Canyon do. Premium buyers spend in town.



FINANCIALS AT A GLANCE

ACREAGE USED

2 ac

TOTAL BUILD COST (EST.)

\$4.50M

MARKET VALUE WHEN BUILT

\$6.90M

ANNUAL PROPERTY TAX

\$50,025

TOWN TPT (1-TIME BUILD)

\$113,490

TOWN OF PAYSON — ANNUAL TPT FROM OPERATIONS

— (industrial use, no operating retail TPT)

Concept 6: Aviation Services Center / FBO

Fuel, charter, maintenance — full-service complement to the airport

A full-service Fixed Base Operator: aviation fuel (100LL and Jet-A), aircraft maintenance shop, charter operations, pilot lounge, courtesy car service. Sales taxable receipts include fuel sales, maintenance labor and parts, and charter revenue — Town gets ongoing TPT in addition to property tax. Anchors the parcel's aviation identity and makes the surrounding hangar units more valuable.

FINANCIALS AT A GLANCE

ACREAGE USED

3 ac

TOTAL BUILD COST (EST.)

\$5.50M

MARKET VALUE WHEN BUILT

\$7.80M

ANNUAL PROPERTY TAX

\$56,550

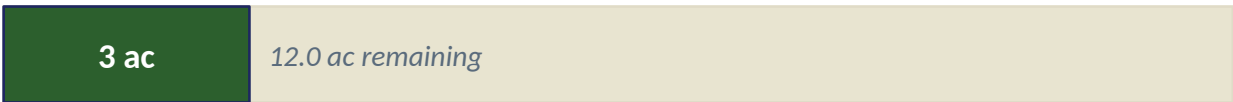
TOWN TPT (1-TIME BUILD)

\$138,710

TOWN OF PAYSON — ANNUAL TPT FROM OPERATIONS

\$70,616 / year

ACREAGE FOOTPRINT (out of 15 ac total)



ANNUAL PROPERTY TAX DISTRIBUTION (approx)



Jobs (est.): 15-30 (mechanics, fuel attendants, charter staff)

Concept 7: Big-Box Warehouse / Manufacturing

Single tenant, 60,000-80,000 sqft — light manufacturing or distribution

A single 60,000-80,000 sqft tilt-up concrete structure built to suit a regional light manufacturer or distribution tenant. Highest single-property tax base of any concept here. Highest construction TPT to Town. Slower to lease than other concepts (12-24 months) but transformative when landed — this is the kind of project that gets cited in Payson's economic development reports for a decade.

FINANCIALS AT A GLANCE

ACREAGE USED

5 ac

TOTAL BUILD COST (EST.)

\$9.50M

MARKET VALUE WHEN BUILT

\$14.00M

ANNUAL PROPERTY TAX

\$101,500

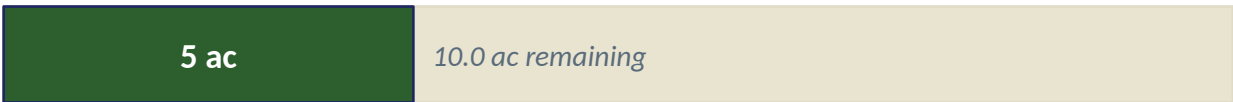
TOWN TPT (1-TIME BUILD)

\$239,590

TOWN OF PAYSON — ANNUAL TPT FROM OPERATIONS

— (industrial use, no operating retail TPT)

ACREAGE FOOTPRINT (out of 15 ac total)



ANNUAL PROPERTY TAX DISTRIBUTION (approx)



Jobs (est.): 60-150 (depending on operator)

Concept 8: Airport Road Retail Strip

Outdoor recreation anchor + dining + experiential — the Rim Country mall

A purpose-built 35,000 sqft retail strip facing Airport Road: outfitter/sporting goods anchor (Sportsman's-class), 2-3 sit-down restaurants, an indoor rock climbing & bouldering gym, Polaris RZR / e-bike rental shop, specialty coffee. Targets locals AND the Rim Country tourist stream that currently bypasses Payson on the way to Pine and Strawberry. Ongoing TPT to Town is the biggest of any concept here.



FINANCIALS AT A GLANCE

ACREAGE USED

3 ac

TOTAL BUILD COST (EST.)

\$6.20M

MARKET VALUE WHEN BUILT

\$9.20M

ANNUAL PROPERTY TAX

\$66,700

TOWN TPT (1-TIME BUILD)

\$156,364

TOWN OF PAYSON — ANNUAL TPT FROM OPERATIONS

\$214,370 / year

Concept 9: Vehicle Storage Condos

"Man cave" garage condos for RVs, RZR's, boats — sold, not leased

Climate-controlled garage condos sold to individual owners. ~20-30 units of 800-1,500 sqft each. Payson has massive unmet demand for premium storage of high-value recreational vehicles: Class A RVs, boats, RZR's, classic cars. Buyers customize with epoxy floors, lifts, and lounges — turning the storage condo into a 'man cave.' Sell-out model. Owners pay HOA for property management.

FINANCIALS AT A GLANCE

ACREAGE USED

2.5 ac

TOTAL BUILD COST (EST.)

\$3.80M

MARKET VALUE WHEN BUILT

\$6.20M

ANNUAL PROPERTY TAX

\$44,950

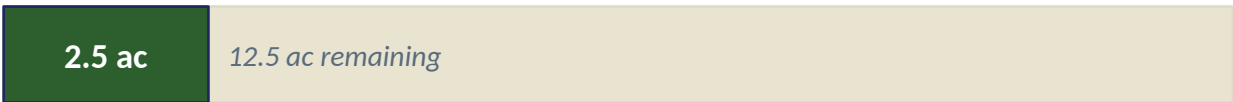
TOWN TPT (1-TIME BUILD)

\$95,836

TOWN OF PAYSON — ANNUAL TPT FROM OPERATIONS

— (industrial use, no operating retail TPT)

ACREAGE FOOTPRINT (out of 15 ac total)



ANNUAL PROPERTY TAX DISTRIBUTION (approx)



Jobs (est.): 3-6 (ongoing management/security)

Concept 10: Traditional Self-Storage

400-600 units — reliable, low-overhead, fills a Payson gap

Standard self-storage: 400-600 mixed-size units (5×10 through 10×30), with a section of climate-controlled and a section of drive-up RV/boat parking spaces. Payson has demonstrated demand exceeding current supply, especially for the larger drive-up units near Highway 87. Reliable cash flow, easy to finance, lowest operational complexity of any concept here. Self-storage rentals are taxable under AZ TPT.

FINANCIALS AT A GLANCE

ACREAGE USED

3.5 ac

TOTAL BUILD COST (EST.)

\$4.80M

MARKET VALUE WHEN BUILT

\$8.50M

ANNUAL PROPERTY TAX

\$61,625

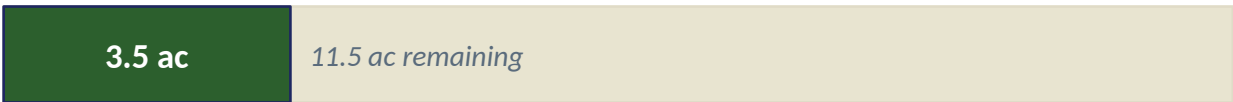
TOWN TPT (1-TIME BUILD)

\$121,056

TOWN OF PAYSON — ANNUAL TPT FROM OPERATIONS

\$35,308 / year

ACREAGE FOOTPRINT (out of 15 ac total)



ANNUAL PROPERTY TAX DISTRIBUTION (approx)



Jobs (est.): 4-8 (manager + maintenance)

Side-by-Side Comparison

All 10 concepts — pick what excites the Town

#	Concept	Acres	Build \$	Mkt Value	Annual Prop Tax	Town TPT (1x)	Town TPT/yr	Jobs
1	Phase 1 Pilot Cul-de-Sac	2.5	\$1.4M	\$2.8M	\$20K	\$35K	—	10-25
2	Subdivided Lot Sales (40)	12.0	\$2.1M	\$30.8M*	\$223K*	\$53K	+\$524K	40+
3	Flex-Industrial Park	3.5	\$3.2M	\$5.8M	\$42K	\$81K	—	40-80
4	T-Hangar Row	2.5	\$2.4M	\$4.2M	\$30K	\$60K	—	3-5
5	Premium Hangar-Lofts	2.0	\$4.5M	\$6.9M	\$50K	\$114K	—	5-10
6	Aviation Services / FBO	3.0	\$5.5M	\$7.8M	\$57K	\$139K	\$109K	15-30
7	Big-Box Warehouse	5.0	\$9.5M	\$14.0M	\$102K	\$240K	—	60-150
8	Airport Rd Retail Strip	3.0	\$6.2M	\$9.2M	\$67K	\$156K	\$330K	80-130
9	Vehicle Storage Condos	2.5	\$3.8M	\$6.2M	\$45K	\$96K	—	3-6
10	Traditional Self-Storage	3.5	\$4.8M	\$8.5M	\$62K	\$121K	\$54K	4-8

* Subdivided Lot Sales numbers shown at full build-out (40 lots × \$650K avg structure). Ongoing TPT column for #2 shows cumulative one-time TPT as buyers complete construction. Retail (#8) and FBO (#6) generate the strongest recurring operating TPT.

OUR ASK

Working together, not asking for permission.

1

Tell us which 2-3 concepts excite the Town most

We're not married to any of these. Your priorities shape ours. If retail-with-aviation-anchor is the win, that's what we build.

2

Help us subdivide for a small Phase 1

Authorize a Minor Land Division (≤ 4 lots) so we can section off 1-2.5 acres for the pilot. We carry the infrastructure cost. Town gets construction TPT in 6 months.

3

A standing seat at the Airport expansion table

Block 10 sits on the airport's southern boundary. Coordination on access, taxiway connections, and master plan revisions benefits everyone.

Block 10's value to Payson grows with collaboration, not in spite of it.